SMART MONEY CONCEPT SIMPLIFIED

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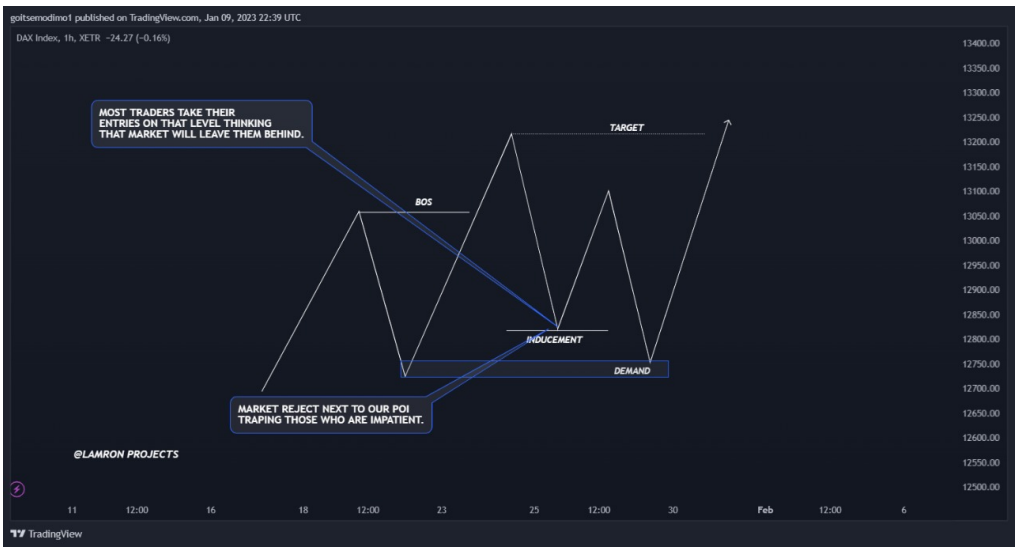


Chapter: INDUCEMENT Trap

What Is INDUCEMENT Trap?

•Inducement Trap Occurs When Market Rejects Next To Your Point Of Interest (POI) Leaving A Low Or High Depending On A Trend You're Introduced To , That Has Liquidity That The Market Needs To Sweep.

•That Low Or High The Market Leaves It Acts As A **Liquidity**, What Happened Is That Market Will Simply Pullback /Retrace Again And Eliminate That Low Or High And Grap Its Liquidity And Therefore Price Will Start Pushing With The Overall Direction.



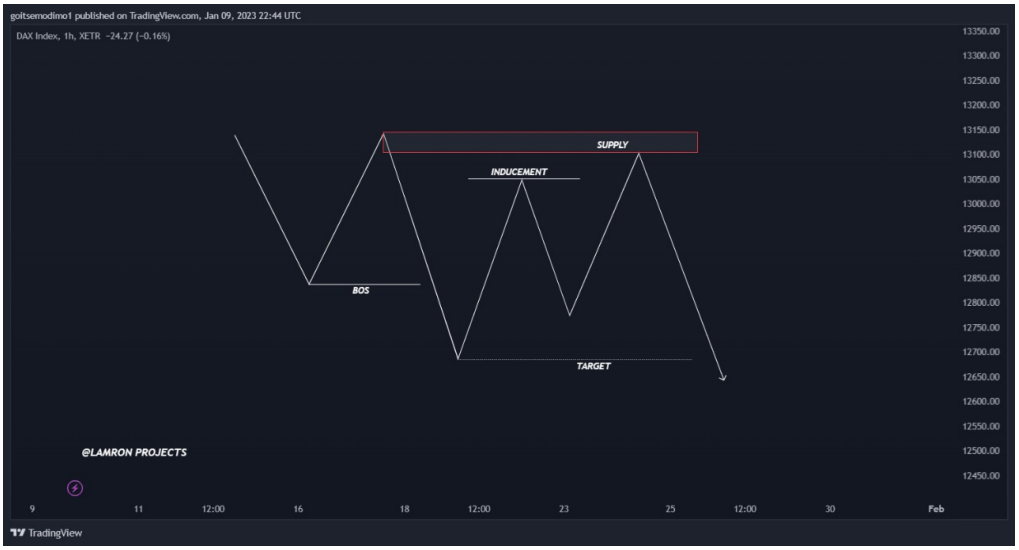
INDUCEMENT Trap On An Uptrend.

•The Reason Why We Call It A Trap It's Because Most Traders Take Their Entries On That Level Thinking That Market Will Leave Them Behind.

•Not Understanding That Market Maker Was Simply Trapping Them, So After They Took Their Entries Price Will Not Break A High If We Are On A Uptrend And It Will Not A Break A Low If We Are On A Bearish Trend. Instead What Will Happen Is That Market Will Pull Back To Eliminate Them And Tap Into Our POI.

•In That Case Most Traders Who Are Suffering From **FOMO (**Fear Of Missing Out) ,After They Take Their Pre-Mature Entries They Gonna Be In Profits For A Short Period Of Time, Then They'll Hold Their Trades Thinking That Market Is Going To Hit Their Targets. But The Market Maker Will Pullback To Hit Their Stop Losses And Tap Their POI Which Is **Demand On An Uptrend** And **Supply On A Downtrend** , After Hitting Their Stop Loss Price Will Continue Going With The Overall Direction.

INDUCEMENT Trap On A Downtrend.



Moral Of This Chapter:

•Moral Of This Chapter Is That People Should Practise Patience And Try By All Means To Work On Their Emotions And Psychology, So That They Won't Suffer From **FOMO** . I Always Tell My Colleagues That Market Will Pay You The Most Money When You're Disciplined And You Should Always Humble Yourself If Not Market Will Do It For You As Always :)

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